

Calderwood Partners LLC

www.calderwoodpartners.com

May 8, 2010

Sandra Flores
Chief Operating Officer
Poole, Mcknight and Rush

Dear Ms. Flores:

This letter sets down the terms on which our firm will carry out a review of the supply chain that Poole, Mcknight and Rush depends on, and it becomes our agreement at the moment you countersign the enclosed copy and return it to me. I have written the terms out in full and in ordinary language, in the conviction that an assignment of this kind runs more surely when both sides have read the same account of it before any work begins, and that the few hours spent reconciling expectations at the outset are repaid many times over in the months that follow. I would ask you to weigh what follows against your own understanding of the assignment, and to tell me, before you sign, of anything on which the two do not agree.

Scope of the Work and Our Approach

The assignment is a review of how Poole, Mcknight and Rush sources, moves, and holds the goods on which its operations rest, and its object is a clear and defensible account of where the present arrangement serves the business well and where it quietly costs more than it returns. We will begin by establishing a faithful picture of the supply chain as it actually runs today, following the flow from supplier through to the point of use, and setting the cost, the service levels, and the inventory that the present arrangement carries against what a well-run operation of comparable size would expect to see. From that baseline we will identify the places where the greatest improvement is available and describe, for each, what pursuing it would ask of the organization and what it could reasonably be expected to return. We will set the trade-offs out plainly, including those that a preferred course would ask you to accept, rather than present a single answer as though it came without cost.

It is worth being equally plain about what this review is not. It is a diagnostic of the supply chain and a set of recommendations grounded in it, and not a program to put those recommendations into effect, nor a negotiation with your suppliers conducted on your behalf; should you wish us to carry any recommendation through to

implementation, we would scope and price that as a separate engagement once the review is complete. Should the scope of the work change materially once we are underway, whether at your request or by what the analysis brings to light, we will describe the change and settle its terms with you before we act on it, so that nothing is added to the work without your assent.

The Team

You will work with a small and settled team, and the people whose names stand on our analysis will be the people who have done it. Michael Walker, an engagement manager of the firm, will run the work day to day and hold the relationship with your people; he is the person to whom any question of scope, pace, or emphasis should come, and the one who will answer for what we deliver. Deborah Gordon, an associate, will lead the benchmarking and the cost and inventory analysis on which the review rests, and will see that the figures we put before you can be defended against a hard question. Daniel Leach, a research associate, will assemble the underlying data and keep the trail by which each number can be traced back to the source it came from.

Fees and Payment

Our fee for the review is fixed at \$62,000, and it covers the work described above together with the ordinary meetings, correspondence, and interim materials that accompany it. It does not extend to work we may later agree to add, such as the implementation of any recommendation, which we would scope and price separately before beginning. We will invoice against the fixed fee at regular intervals as the work proceeds, and each invoice falls due within thirty days of its date; because the fee does not vary with the hours the work happens to take, you carry no exposure to an overrun on our side.

Term and Termination

The engagement will commence on May 18, 2010 and is scoped to run for approximately four months, that being the period over which we have planned the diagnostic and the analysis, though I will tell you early if the work proves to need more time or less. Either party may bring the engagement to an end on reasonable written notice to the other. Should you elect to end it, you will owe our fee earned to the date of termination together with any costs properly incurred to that point, and nothing beyond; should we do so, which we would undertake only for a reason our professional standards require, we will refund any part of the fixed fee that relates to work not yet performed and will assist an orderly handover of the assignment.

Confidentiality

We will treat the information you place in our hands, together with the fact and the substance of this engagement, as confidential, and we will use what you disclose to us solely for the purpose of the review you have retained us to perform. We ask the same of Poole, Mcknight and Rush with respect to the methods, analyses, and materials we bring to the work. These obligations will survive the completion or termination of the engagement, and neither party will disclose the other's confidential information except where the law or a proper regulatory authority compels it, and then only to the extent compelled and, where practicable, on notice to the other.

Limitation of Liability

We will perform this engagement with the care and skill that our profession expects, and our advice will represent our considered professional judgment on the information available to us. We do not, however, warrant a particular commercial result, since the benefit of a supply-chain review depends in large part on decisions and actions that lie with your organization rather than with ours. Our aggregate liability to you arising out of or in connection with this engagement will be limited to the amount of the fee actually paid to us under it, save where the law does not permit such a limit, and neither party will be liable to the other for indirect or consequential loss.

Governing Law

This letter constitutes the entire agreement between us in respect of this engagement and supersedes any prior discussion or understanding, and it may be varied only by a writing signed by both parties. It will be governed by, and construed in accordance with, the law of the state in which our firm maintains its principal office, and each of us submits to the jurisdiction of the courts of that state in respect of any dispute arising under it.

If the terms set out above reflect our agreement, I would ask you to countersign and date the enclosed copy of this letter and return it to me, upon which we will confirm the commencement and begin the work. If any part of it warrants discussion first, tell me and I will make the time this week to talk it through before you sign.

Sincerely,

Julie Ramsey

Managing Principal

Date: May 8, 2010

Sandra Flores

Chief Operating Officer, Poole, Mcknight and Rush

Date: May 8, 2010